

From Unveiled Ownership to Unveiled Risk

Did financial intermediation transform rich saving into middle-class mortgage debt?

Motivation and research question

Mian, Straub, and Sufi (MSS) document three connected changes. Figure 1 shows the indirectly held share of household financial assets rising from about 45% in 1960 to 70% in 2007. Figure 6 shows the top 1% saving rate rising from 43% to 54% after 1982 while the rest falls from 14% to 7%. Figure 8 unveils a widening top-lender/middle-borrower position before 2008. Yet the ownership operator is payoff-blind: it traces who owns a dollar claim, not whether intermediation reduced its risk, relaxed credit supply, weakened screening, or shifted losses through capital and guarantees.

Question. Did pooling, securitization, and secondary-market liquidity convert the saving glut of the rich into cheaper and more abundant mortgages, thereby lowering middle-wealth households' saving rates; and who ultimately bore the resulting state-contingent losses?

A borrower–saver–intermediary model

Let mortgage i pay $R_{it} = \bar{R}_t - \eta_t - \varepsilon_{it}$, with aggregate risk $\sigma_{A,t}^2$ and idiosyncratic risk $\sigma_{I,t}^2$. Financialization ϕ_t permits a pool of $N(\phi_t)$ loans, so

$$\text{Var}(\bar{R}_{N,t}) = \sigma_{A,t}^2 + \frac{\sigma_{I,t}^2}{N(\phi_t)}, \quad r_t^L - r_t^f = c(\phi_t) + \gamma_t \text{Var}(\bar{R}_{N,t}) + \mu(\phi_t, e_t, k_t, g_t).$$

Pooling removes idiosyncratic risk, not the aggregate housing shock. The loan spread also contains funding cost c , screening e , loss-absorbing capital k , guarantees g , and an agency/opacity wedge μ . Hence $\partial(r^L - r^f)/\partial\phi$ is ambiguous: intermediation can reduce funding and diversification costs while weakening screening or reallocating capital.

A middle household chooses consumption, housing, and mortgage debt subject to $b \leq \lambda(\phi_t, e_t)q_t h$. Its debt choice maps directly into Figure 6:

$$s_{gt}^{L,m} = - \frac{L_{gt}^m - (1 - WD_{gt}^m)L_{g,t-1}^m}{Z_{gt}^d},$$

where WD_{gt}^m is the write-down rate and Z_{gt}^d is group disposable income including attributable corporate income. Rich savers choose direct and intermediated claims; market clearing links their saving to mortgage funding, but ownership alone is not a causal loan-supply equation.

The methodological increment: a separate loss operator

MSS compute nominal ultimate ownership as $\Omega_t = (I - Q_t)^{-1}H_t$. For state ω , instead let $P_t(\omega)$ pass marginal losses between intermediaries and $C_t(\omega)$ pass them to terminal owners after capital, seniority, and guarantees. For primary losses $\ell_t^0(\omega)$,

$$\ell_t^O(\omega) = \ell_t^0(\omega)(I - P_t(\omega))^{-1}C_t(\omega), \quad P_t \mathbf{1} + C_t \mathbf{1} + a_t = \mathbf{1},$$

where a_t is intermediary-buffer absorption. This local, piecewise-linear map keeps three objects distinct: face-value ownership, ex ante expected risk, and realized loss incidence. Large shocks require an explicit nonlinear waterfall as buffers are exhausted.

Relation and novelty

The generic links from securitization to mortgage supply and from inequality to household debt are well studied. The candidate contribution is narrower: *jointly discipline distributional saving, ultimate claim ownership, and wealth-group loss incidence, then quantify the intermediation counterfactual*. It opens the intermediation block in *Indebted Demand* and answers MSS's call to study why excess saving financed leverage rather than investment.

Mortgages Select the Pre-2008 Laboratory

February 2021 inputs, full Leontief unveiling, 1963–2016

The project separates home mortgages from broad consumer credit for four wealth groups and applies the paper’s write-down factors. Selected estimates below are generated, not hand-entered; all values are percentage points of aggregate national income.

Object	Debt category	Top 1%	Next 40%	Bottom 50%
Liability-stock change, 1982–2007	Mortgage	+4.50	+23.63	+13.85
	Consumer credit	0.00	+2.92	+4.04
Annual active-saving contribution, 1998–2007	Mortgage	−0.43	−3.09	−2.28
Unveiled net-position change, 1982–2007	Mortgage	+8.69	−19.02	−13.73

Interpretation. Mortgages dominate the boom-era debt build-up, the debt-related saving drag, and the widening top-lender/middle-borrower split. For the bottom 99%, the mortgage saving contribution then collapses from −6.36 in 1998–2007 to −0.16 in 2008–2016, so the model should target the pre-crisis regime. This is accounting incidence, not a causal financialization estimate.

Empirical and quantitative sequence

- 1. Close the MSS measurement identity.** Use the exact Figure 6 group-income denominator and percentile bins; require mortgage plus consumer credit to recover total debt saving and all asset classes to recover the complete saving rate.
- 2. Identify the intermediation channel.** Measure securitization, loan sales, GSE/private-label shares, originator funding and capital, retention, and guarantees separately. Estimate approval, rate, amount, and performance responses using conforming-loan eligibility or predetermined lender exposure. Test cutoff manipulation, borrower sorting, and the lender-exposure exclusion restriction.
- 3. Estimate the model and unveil losses.** Match Figures 1, 6, and 8; mortgage spreads and originations; intermediary funding/capital; and default/loss severity. Simulate nominal ownership and state-contingent losses, enforcing loss conservation across security holders, intermediary capital, government guarantees, and the rest of the world.
- 4. Run the counterfactual.** Holding 2007 incomes, collateral, and borrower fundamentals fixed, replace the 2007 intermediation/risk-bearing structure with its 1982 counterpart. Measure the implied change in middle mortgage debt and Figure 6 saving, then separate intermediation from inequality, collateral, and agency/guarantee wedges.

Required data

Source	Object	Principal limitation
MSS DINA, Financial Accounts/FWTW, DFA	Saving by wealth, ownership network, mortgage stocks and write-downs	Nominal claims do not reveal loss waterfalls
HMDA + Call Reports	Applications, approvals, lender funding, capital, charge-offs	HMDA lacks wealth; nonbank exposure is incomplete
FHFA/GSE limits and loan-performance files	Eligibility, securitization, default, recovery, loss severity	GSE loans do not cover private-label securitization
SCF/DFA + local house prices	Borrower wealth rank, portfolios, collateral and housing risk	Triennial survey; house prices are endogenous

Private-label pool/tranche and servicing data would sharpen risk incidence but may require commercial access. The public minimum combines the existing MSS pipeline with HMDA, Call Reports, conforming limits, GSE performance, SCF/DFA, and house prices.

Evidentiary boundary

The proposal does not assume that financialization caused top saving or that more credit reduced welfare. Pooling can lower idiosyncratic risk while leaving aggregate risk intact; securitization may relax funding constraints while weakening screening. The contribution is to estimate these offsetting forces and distinguish who owns the claim from who bears the loss.